

Memorandum

Date 7 November 2025
To Shay Schlaepfer
From Jen Vella/ Hannah Zydenbos
Subject Fast-track Approvals Act 2024 - Cost Recovery

Introduction

- 1 The Fast Track Approvals Act 2024 (**FTAA**) establishes a unique consenting regime (the **Fast Track process**) for infrastructure and development projects with significant regional or national benefits, with a view to enabling faster decision-making.
- 2 In doing so, it alters standard approval/consenting processes, including the roles of various stakeholders and the nature of their participation. Processing of applications is undertaken by the Environmental Protection Authority (**EPA**) and independent expert panels make decisions on applications. Notification is prohibited but panels invite written comments by parties either as specified in the FTAA or as directed by the panel.
- 3 The Government's intention is that the cost of participating in the Fast Track process will be borne by applicants. The FTAA therefore establishes mechanisms for some of those parties to recover the costs of their participation.
- 4 The Environmental Defence Society (**EDS**) has requested advice as to which parties can recover their costs of participation under the FTAA and the scope of costs that are recoverable. Including what constitutes "reasonable costs".
- 5 This memorandum therefore sets out:
 - (a) A brief overview of the cost recovery provisions of the FTAA;
 - (b) Who can recover costs; and
 - (c) The scope of recoverable costs, including what constitutes "reasonable" costs.
- 6 A summary of this advice is set out first, followed by more detailed advice.

Summary

- 7 The FTAA enables the recovery of the costs incurred by some parties in relation to referral applications, substantive applications and land exchange applications (**an application**).
- 8 Those parties currently able to recover costs are:
 - (a) The Minister for Infrastructure (**Minister**) - for panels, panel convenors and preliminary matters such as determinations on priority and ineligibility;
 - (b) The Secretary for the Environment and other government agencies (including the EPA) responsible for administering legislation under which approvals are ordinarily obtained - for performing or exercising their functions, powers and duties under the FTAA, including for consulting with, and providing assistance to, a potential applicant prior to an application being lodged;
 - (c) Relevant local authorities within whose boundaries the project is located (or those who are adjacent to the coastal marine area for a marine consent) - for performing or

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exercising their functions, powers and duties under the FTAA, including for consulting with, and providing assistance to, a potential applicant prior to an application being lodged;

- (d) Parties with an interest in land proposed to be exchanged - can recover actual and reasonable costs they incur in relation to that negotiation; and
 - (e) Māori consultation groups who have been invited to comment, and have commented, on an application - this is a contribution only, and the amount of the contribution (which depends on the complexity of the application) is specified in the Fast-Track Approvals (Cost Recovery) Regulations 2025 (**Regulations**).
- 9 Additional third parties able to claim a contribution toward their costs may be identified in the Regulations in the future. At this stage, other third parties with statutory roles that would often see them participate in certain applications pursuant to their statutory functions, such as the New Zealand Conservation Authority, Conservation Boards, the New Zealand Fish and Game Council and the Game Animal Council, are not currently entitled under the legislation to a contribution towards costs, despite being entitled to provide written comments on certain applications.
- 10 Costs incurred by the Minister and agencies (which includes the relevant councils) prior to the lodgement of an application are recoverable directly from the authorised person for the project/potential applicant, whether or not an application is lodged. Costs incurred by agencies after an application is lodged are recovered by the EPA. The EPA must recover costs on behalf of the Minister or agencies if requested to do so. Contributions to the costs of Māori consultation groups must be covered by the EPA. The EPA then has a discretion as to whether it recovers that contribution from the applicant.
- 11 Except in relation to third parties (who are only entitled to a contribution to costs), the scope of recoverable costs is limited to the "actual and reasonable" costs associated with performing or exercising functions, duties and powers under the FTAA. For local authorities, these include consultation, advising on competing applications/existing resource consents for the same activity, providing written comments and other information or advice as requested, attending hearings and reviewing draft conditions. In addition, the FTAA includes a principle that all practicable steps must be taken to use cost-effective processes.
- 12 Some question has been raised in relation to the role of local authorities, and whether costs associated with undertaking a substantive merits assessment are within their functions, powers and duties under the FTAA. In that context, the Panel Convener has expressed concern that a local authority's written comments may not be properly informed without technical expert review. There is also a question as to whether costs for work undertaken in the period between lodgement of a substantive application and being invited to provide written comments, or during a suspension, are recoverable. The EPA has updated its cost recovery policy to confirm that it will generally not recover costs during a suspension period unless to give effect to the suspension, or in response to a direction by the panel and by agreement with the applicant.
- 13 There is no specific mechanism in the FTAA for challenging whether costs are "actual" or "reasonable". Costs are a debt recoverable by the person owed in a court of competent jurisdiction. Case law under similar provisions of the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 (**EEZ Act**) suggests that the absence of a specific mechanism for an objection to costs means that costs are only able to be challenged on the grounds that they are unlawful or unreasonable in an administrative law sense. For costs to be "reasonable", they must be lawful, and genuine and intelligent consideration must be given to whether they are required to deal with the issue at hand. That case law may be of limited guidance because the cost recovery provisions of the FTAA also differ to those of the EEZ Act in many respects - including that the FTAA contains a general principle that all practicable steps should be taken to use cost-effective processes that are proportionate to the function, power or duty being exercised.

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- 14 In light of the case law and provisions of the FTAA, persons should ensure that the costs being incurred are lawful - costs need to relate to the specific functions, powers and duties assigned to them under the FTAA; they should be cognisant of their role under the FTAA, and how it differs to their role under the Resource Management Act 1991 (**RMA**), particularly in light of the issues raised above; they should take all practicable steps to use cost-effective processes; and they should consider whether the cost being incurred is required to deal with the issue at hand.
- 15 The Fast Track Approvals Amendment Bill proposes amendments to the FTAA to allow regulations to determine what "actual and reasonable costs" are, including by setting upper limits, identifying criteria for the quantification of costs, or excluding certain categories of costs that may be recovered. The Bill proposes that regulations may also set out a disputes resolution process for recovering costs under s104.

Overview of cost recovery provisions under the FTAA

- 16 It is noted at the outset that section 10 of the FTAA establishes an overarching procedural principle relevant to costs that processes must be cost-effective and proportionate. Section 10(1) provides that:

Every person performing functions and duties and exercising powers under this Act must take all practicable steps to use timely, efficient, consistent and cost-effective processes that are proportionate to the functions, duties or powers being performed or exercised.

- 17 The EPA is also required to minimise costs and avoid delay in performing these functions, powers and duties as far as is reasonably practicable.¹
- 18 Cost recovery under the FTAA is generally governed by sections 103 - 112 of the FTAA and the Regulations. The key provisions that address who can recover costs, what costs can be recovered and how costs can be recovered are detailed below. Further analysis of these matters is contained in the sections that follow.
- 19 Agencies can recover actual and reasonable costs incurred by them in consulting and providing assistance before an application is lodged. These costs can be recovered whether or not the application is lodged and must be recovered directly from the potential applicant.²
- 20 If an application is lodged, the EPA can recover actual and reasonable costs incurred by it and any other agency in performing or exercising functions, powers and duties under the FTAA. The Minister can also recover actual and reasonable costs incurred in relation to a panel and a panel convenor.³
- 21 In relation to certain preliminary steps.⁴
 - (a) If a substantive application is not lodged, agencies and the Minister can recover actual and reasonable costs incurred by them in performing or exercising their functions, powers and duties under the FTAA;

¹ Section 92(2)

² Section 104(1)

³ Section 104(2)

⁴ These preliminary steps are set out at sections 29 – 31 and 37 – 39 of the FTAA

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- (b) If a substantive application is lodged, the EPA can recover actual and reasonable costs incurred by the EPA and any other agency, and the Minister can recover actual and reasonable costs incurred in relation to a panel and a panel convenor.
- 22 Those preliminary steps include preliminary consultation, identification of existing resource consents for the same activity, lodging a pre-request aquaculture agreement, lodging mining permit information, applications for priority and applications for determinations on ineligibility.
- 23 The EPA must contribute to the costs incurred by third parties listed in regulations. The EPA can recover these costs from the applicant.⁵ The regulations can set the method for calculating the contribution, or the amount of the contribution, and the process to be followed in order to claim the contribution.⁶ Regulations have been promulgated that identify "Māori consultation groups" as being entitled to claim a contribution to costs (discussed further below).
- 24 In relation to a substantive application for a land exchange, the holder of an interest in land with whom an applicant is required to negotiate can recover actual and reasonable costs they incur in relation to that negotiation. These are recoverable directly from the applicant.⁷
- 25 Costs can be recovered through fixed fees or charges, estimated fees or charges (followed by a reconciliation to account for actual and reasonable costs) or levies.⁸ Regulations made under the FTAA may set fixed or estimated fees and charges, methods for calculating fees and charges, reconciliation processes⁹ and levies payable to the EPA.¹⁰ The Regulations currently only provide for contributions to Māori consultation groups, which are fixed fees for "lower" and "higher" contributions, depending on the complexity of the application (see below).¹¹
- 26 The Regulations also allow for further fees to be recovered by the EPA in order to recover the total actual and reasonable costs incurred by agencies or the Minister, or in relation to the panel and panel convenor or contributions to the costs of third parties.¹²
- 27 The EPA, Secretary for the Environment and administering agencies must publish their rates for further fees on their websites,¹³ although this obligation does not extend to local authorities. The EPA and other government agencies have published cost recovery policies,¹⁴ some of which include the hourly rates that will apply to cost recovery. These policies do not have a statutory basis but do provide some transparency as to how each agency will approach the recovery of costs. The adoption and publication of similar policies by local authorities would assist in transparency for applicants.

⁵ Section 104(4) and s110.

⁶ Section 108(1)(g)

⁷ Section 111

⁸ Section 106

⁹ Section 108(a) – (c)

¹⁰ Section 109

¹¹ Regulation 6 and Schedule 2

¹² Regulation 5

¹³ Regulation 5(3)

¹⁴ The EPA's policy for Fast Track fees, levies and cost recovery can be found [here](#).

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- 28 Costs are a debt due to the relevant interest holder (in relation to land exchanges) or agency, or the Crown that is recoverable in a court of competent jurisdiction.¹⁵ The EPA must recover costs that are recoverable on behalf of the Minister or another agency if requested to do so.¹⁶ That includes Minister or agency costs incurred prior to the lodgement of an application provided the costs relate to the performance or exercise of each of those parties' functions, powers and duties.

Who can recover costs?

- 29 The following parties have some ability to recover costs (either directly, or indirectly through the EPA) for their participation in FTAA processes:
- (a) the Minister;
 - (b) the EPA and other agencies;
 - (c) third parties identified in regulations; and
 - (d) interest holders in the context of a land exchange application.
- 30 "Agencies" are defined by the FTAA¹⁷ as the EPA, the "responsible agency", an "administering agency", or a "relevant local authority" where:
- (a) the "responsible agency" is the Secretary for the Environment (i.e., the Chief Executive of the Ministry for the Environment);¹⁸
 - (b) "administering agency" means the chief executive of a department that, with the authority of the Prime Minister, is responsible for the administration of a "specified Act".¹⁹ The specified Acts and administering agencies are listed in the FTAA and are those Acts, and agencies that administer those Acts, under which approvals would ordinarily be sought if not for the FTAA,²⁰ and

¹⁵ Sections 107 and 111

¹⁶ Section 104(5)

¹⁷ Section 103.

¹⁸ Section 4

¹⁹ Section 4

²⁰ The specified Acts and relevant departments are:

- (a) The Resource Management Act 1991 and the Ministry for the Environment.
- (b) The Conservation Act 1987, Reserves Act 1977, Wildlife Act 1953, and National Parks Act 1980 and the Department of Conservation.
- (c) The Heritage New Zealand Pouhere Taonga Act 2014 and the Ministry for Culture and Heritage and Heritage New Zealand Pouhere Taonga.
- (d) Freshwater Fisheries Regulations 1983 and the Department of Conservation.
- (e) The Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 and the Ministry for the Environment and the Environmental Protection Agency.
- (f) The Crown Minerals Act 1991 and the Ministry of Business, Innovation and Employment;
- (g) Ministry for Primary Industries, the Office for Māori-Crown Relations – Te Arawhiti, and the Ministry of Māori Development – Te Puni Kōkiri – see section 103.

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- (c) "relevant local authority" means any local authority whose region or district the project is in and, for the purpose of marine consents, this includes regions or districts adjacent to the proposed site.²¹
- 31 A "third party" is defined (unless the context otherwise requires) for the purposes of sections 104 to 112 – which are the cost recovery provisions of the Act – as:²²
- (a) a person (other than an applicant, an agency, the Minister or a panel) who:
- (i) responds to an invitation from an applicant, an agency, the Minister, or a panel to comment on an application; or
 - (ii) appears at a panel hearing; or
 - (iii) (iv) provides information to a panel in response to a request to do so; and
- (b) any other class of persons specified as a third party by regulations.
- 32 While the definition of "third party" is broad, the EPA is only required to pay a contribution to the costs of a third party in accordance with regulations²³ and may only recover the costs of contributions it has made to the costs of relevant third parties.²⁴ The Regulations currently only identify "Māori consultation groups" as being entitled to receive contributions.²⁵ The EPA has confirmed that it interprets the cost recovery provisions for third parties in this manner.²⁶
- 33 Māori consultation groups are those who have been invited to comment on an application.²⁷ Depending on the project, this may include iwi authorities, groups that represent hapū that are parties to relevant Mana Whakahono ā Rohe or joint management agreements, Treaty settlement entities, groups with recognised negotiation mandates or current negotiations for Treaty settlements, protected customary rights groups and customary marine title groups (including applicant groups), and owners of Māori land in the project area.
- 34 While other third parties are specifically entitled to provide written comments on certain applications – for example, the New Zealand Conservation Authority, Conservation Boards, the New Zealand Fish and Game Council and the Game Animal Council are entitled to provide written comments on concessions, land exchanges and conservation covenants - they are not currently provided for by the Regulations as being entitled to recover either their actual and reasonable costs, nor a contribution to their costs.
- 35 Holders of an interest in land may recover the actual and reasonable costs that they incur in relation to negotiating a land exchange from the applicant for a substantive application for a land exchange approval, whether or not the negotiation results in a land exchange.²⁸

²¹ Section 4.

²² Section 103.

²³ Section 110(1)

²⁴ Sections 104(4) and 110

²⁵ Regulation 6, Fast-track Approvals (Cost Recovery) Regulations 2025

²⁶ Policy for Fast-track Fees, Levies and Cost Recovery (Environmental Protection Authority, June 2025), at paragraph 42

²⁷ Regulation 3

²⁸ Section 111(3)

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Recoverable costs

- 36 While the Minister and agencies are able to recover "actual and reasonable costs" of performing or exercising each of those parties' functions, powers and duties, and those with an interest in land proposed to be exchanged are entitled to recover the "actual and reasonable costs" of negotiating the land exchange, Māori consultation groups are entitled to a contribution towards their costs only. The scope of recoverable costs are set out below.

Māori consultation groups – contribution to costs

- 37 For Māori consultation groups, the level of contribution that can be claimed from the EPA depends on the complexity of the application and is set out in the Regulations as follows:²⁹
- (a) If one type of approval is sought, Māori consultation groups are entitled to a "lower" contribution of:
 - (i) \$1,500 for referral applications;
 - (ii) \$1,500 for land exchange applications; and
 - (iii) \$7,000 for substantive applications.
 - (b) If more than one type of approval is sought, Māori consultation groups are entitled to a "higher" contribution of:
 - (i) \$2,000 for a referral application;
 - (ii) \$1,500 for a land exchange application; and
 - (iii) \$10,000 for a substantive application.

- 38 Payment is made by the EPA upon application and recovered by the EPA from the applicant.

Minister and agencies (including local authorities)

- 39 For the Minister, the EPA and other agencies (including local authorities), "actual and reasonable costs" are recoverable for performing or exercising those parties' functions, powers and duties under the FTAA. In the case of the Minister, "actual and reasonable costs" of the performance or exercise of the functions, powers and duties of the panel and panel convenor are also recoverable.
- 40 The term "functions, duties and powers" is specifically defined by the FTAA³⁰ as including:
- (a) commissioning advice or other services required to process an application; and
 - (b) undertaking consultation, negotiating with affected parties, or responding to an invitation to comment in relation to an application; and
 - (c) undertaking the activities described in paragraph (a) or (b) to enable other persons to perform or exercise their functions, duties, and powers under this Act; and
 - (d) preparing advice in preparation for—

²⁹ Regulation 6

³⁰ Section 103.

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- (i) performing or exercising functions, duties, and powers; or
 - (ii) Act; and
 - (e) appearing at a hearing held by a panel, including preparing for the hearing; and
 - (f) provision of secretarial and support services by the EPA or the responsible agency; and
 - (g) for approvals described in section 42(4)(f) (land exchanges) that are subject to conditions, actions taken by the relevant administering agency to ensure that the conditions continue to be complied with.
- 41 The specific functions, duties and powers of local authorities under the FTAA include, for example:
- (a) Participating in consultation initiated by the applicant prior to lodging a referral application,³¹ a substantive application for a listed project³² or a land exchange application,³³
 - (b) Providing information to the applicant as to whether there are existing resource consents for the same resource (or to occupy the same space used for aquaculture activities)³⁴ and to the Minister (in relation to a referral application),³⁵ and consulting with the EPA on its recommendation to the Minister as to whether there are any competing applications or existing resource consents;³⁶
 - (c) Providing written comments on a referral application (as invited by the Minister),³⁷ a substantive application (as invited by a panel)³⁸ or an application for a land exchange (as invited by the Director-General of Conservation (**D-G**)),³⁹
 - (d) Providing any information requested by the Minister (in relation to a referral application),⁴⁰ any information or reports or any other advice within its knowledge as requested by the panel (on a substantive application)⁴¹ or any information requested by the EPA in relation to a listed or referred project, before or after it receives a substantive application;⁴²

³¹ Section 11(1)(a)

³² Section 29(1)

³³ Applicants for a land exchange are required to provide full details of any consultation undertaken with any parties with rights or interests in the land to be exchanged – Schedule 6, clause 24. Local authorities are to be invited to provide written comments – Section 35(1)

³⁴ Section 30

³⁵ Section 17(3)

³⁶ Section 47

³⁷ Section 17(1)

³⁸ Section 53(2)

³⁹ Section 35(1)

⁴⁰ Section 20(1)

⁴¹ Section 67(1); Schedule 3, clause 12

⁴² Section 90

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- (e) Preparation for, and attendance at, any hearing;⁴³
 - (f) Providing comments on the draft report by the D-G on a land exchange application,⁴⁴ consulting with the D-G in preparing its report (where the council is the manager of a reserve proposed to be exchanged)⁴⁵ and on draft conditions prior to the panel granting approval to a substantive application.⁴⁶
- 42 Guidance from the Panel Conveners⁴⁷ (**Practice Guidance**) sets out that their expectation is for local authorities' participation to (in the context of the functions, powers and duties above):
- (a) Provide an opinion on whether an application is complete and within scope (in terms of section 46);
 - (b) At a Panel Convener's conference, to inform the decision timeframe, identify likely issues, including disputed facts, opinions, or legal matters. The Practice Guidance suggests that input from planning and technical advisors will be likely, but a merit assessment is not sought at this stage;
 - (c) Provide written comments on the application which could involve a merits and technical assessment, including engaging expert opinion and evaluating the substantive application including technical reports, legal advice and submissions.
- 43 The approach to providing written comments by local authorities, including the role of technical experts, has been raised in the context of decisions on the Ports of Auckland Limited (**POAL**) and Homestead Bay applications under the FTAA.
- 44 The POAL panel noted that, unlike section 42A reports prepared under the RMA, it is the council, not individual council specialists, who are invited to comment under section 53 of the FTAA. The panel considered that comments from technical specialists only need to be provided to the extent that they inform the council's comments, and that the council should curate such comments into a concise summary of the matters that it considers to be material to the panel's decision making and how the council proposes matters in contention should be addressed.⁴⁸
- 45 Drawing on those comments, Queenstown Lakes District Council (**QLDC**), in the Homestead Bay application, expressed concern as to:⁴⁹
- ...what are the "actual and reasonable costs incurred by [QLDC] in performing or exercising their functions, duties or powers under this Act in relation to the application". That is because the FTAA only requires the Council to provide written comment on the Substantive Application, it does not require the Council to undertake*

⁴³ Section 57(4)

⁴⁴ Section 35(5)

⁴⁵ Schedule 6, clause 26(3)

⁴⁶ Section 70(1)

⁴⁷ Fast-Track Approvals Act 2024: Panel Conveners' Practice and Procedure Guidance, 22 July 2025.

⁴⁸ Memorandum of Counsel for Queenstown Lakes District Council responding to Minute 3 of the Panel Convener (11 August 2025), at [5.3]

⁴⁹ Minute of the Panel Convener - Seeking clarification from QLDC (FTAA-2506-1071) (12 August 2025)

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a full merits assessment of the Application, including through obtaining peer reviews, in the way it might normally do when it is a decision maker under the RMA.

- 46 In response, the Panel Convener noted that the FTAA does not define what is meant by "comment" for the purposes of section 53, suggesting that section 42A of the RMA is the nearest equivalent section and advising that it will seek advice from the EPA subject to clarification of QLDC's concerns.⁴⁹
- 47 QLDC clarified that it was concerned that the FTAA does not assign a function, power or duty to local authorities to give a recommendation on the proposal, which would require a full assessment of the benefits, effects and various matters that the panel is required to turn its mind to, including the purpose and context of the FTAA. Rather, the FTAA framework allocates evaluation and decision making to the independent panel.⁵⁰
- 48 Noting the POAL panel's view that the council's role is not to provide a section 42A report, QLDC signaled its intention that the scope of its involvement would be to:
- (a) Outline matters or areas it would examine further if it were the decision-maker, including further information it would request;
 - (b) Provide comment on the consistency or otherwise of the proposal with its community-endorsed spatial strategies and plans, including by relying in existing evidence or information it holds;
 - (c) With the exception of infrastructure, not undertake peer reviews unless instructed by the panel in accordance with the panel's powers under section 67 of the FTAA.
- 49 Whether costs can be incurred during periods in which there is no specific role for a person, or during a period of suspension, has also been raised in the context of the Homestead Bay and Drury Quarry Expansion applications.
- 50 In the Homestead Bay application, QLDC raised a concern that, post-lodgment of the substantive application and prior to the establishment of a panel, local authorities do not have any powers, functions or duties, so it is unclear whether they are entitled to recover any costs during that period.
- 51 In response, the Panel Convener indicated that QLDC may need to consider a wider range of issues in order to comment on conditions and expressed concern that if local authorities do not engage experts prior to being invited to make comment, it is unlikely that their comments will be properly informed by expert opinion. This may result in the panel needing to request reports or information from the local authority, impacting the decision time frame.⁵¹
- 52 The EPA⁵² could not confirm whether costs incurred by a local authority in obtaining peer reviews of the application after the substantive application is lodged and prior to being invited to make written comments, are recoverable from the EPA as an actual and reasonable cost. The EPA did not address the broader question relating to the role of local authorities under the FTAA and the recoverability of costs for obtaining peer reviews or providing reports more generally. This is therefore still an area of uncertainty.

⁵⁰ Memorandum of Counsel for Queenstown Lakes District Council responding to the Panel Convener's request for clarification (13 August 2025)

⁵¹ Minute of the Panel Convenor – Post conference directions to conference participants (FTAA-2506-1071) (13 August 2025)

⁵² Memorandum for Environmental Protection Authority responding to the Panel Convener (26 August 2025)

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- 53 In the Drury Quarry Expansion application, the panel advised that it was made aware of clarification from the EPA that no costs can be incurred by any person, including the panel and the EPA, during a suspension period, even where an applicant indicates that it is content for the work to continue. The panel sought advice from the EPA as to whether expert conferencing could occur during this period.
- 54 In response, the EPA updated its cost recovery policy as follows (although the lawfulness of this policy is untested):
53. If a panel suspends processing of a substantive application under section 64 of the Act, the EPA may recover the costs incurred until and including the date the panel grants a suspension, plus any necessary consequential costs to give effect to the suspension. Subject to section 64(5) of the Act, further work and cost recovery may also occur at the specific direction of the panel and agreement of the applicant.
54. Where a substantive application is returned to the applicant at the direction of the panel under section 66(4) of the Act, the EPA will recover any further costs incurred until and including the date the EPA notifies the decision of the panel to return the application.

Actual and reasonable costs

- 55 The FTAA does not provide specific guidance as to what constitutes "reasonable" costs. While the phrase "actual and reasonable costs" is used in other resource management-related legislation,⁵³ the provisions of each piece of legislation relating to cost recovery differ. There is therefore little case law that provides guidance that may be extrapolated to the FTAA.
- 56 *Environmental Protection Authority v Chatham Rock Phosphate Ltd*⁵⁴ (**EPA v Chatham Rock**) and *Chatham Rock Phosphate Ltd v Environmental Protection Authority*⁵⁵ (**Chatham Rock v EPA**) (together, **Chatham Rock cases**) may provide some guidance as to how a Court would consider "reasonable" costs. The Chatham Rock cases relate to a challenge by the applicant to costs incurred under the provisions of the **EEZ** Act.
- 57 Under the EEZ Act, the EPA is required to take steps to recover the direct and indirect costs incurred in performing or exercising its functions, powers and duties that are not covered by an appropriation (i.e., public money assigned to cover those costs) by Parliament.⁵⁶ In determining the most appropriate method of cost recovery, one of the criteria the Minister must have regard to is that costs should be collected only to meet the 'actual and reasonable costs' of the performance of the function, power or duty.⁵⁷ There is no specific mechanism for objecting to those costs, and costs are a debt recoverable in a court of competent jurisdiction.⁵⁸
- 58 In *EPA v Chatham Rock*, the applicant had refused to pay part of the EPA's invoice. The EPA therefore sought to recover those costs as a debt in the High Court. As part of that process (i.e., as a defence), the applicant challenged the EPA's invoice on the grounds that the costs were not

⁵³ For example, the Resource Management Act 1991 – in relation to additional charges (section 36(5) and recovery of costs associated with a referral (section 149ZD); the Exclusive Economic Zone and Continental Shelf (Environmental Effects) Act 2012 – in relation to recovery of costs of EPA and boards of inquiry (see, for example, sections 52A, 143); the Covid-19 Recovery (Fast-track Consenting) Act 2020 (Schedule 5, clauses 13 and 14)

⁵⁴ *Environmental Protection Authority v Chatham Rock Phosphate Ltd* [2016] NZHC 2079

⁵⁵ *Chatham Rock Phosphate Ltd v Environmental Protection Authority* [2018] NZLR 179

⁵⁶ EEZ, s143(1)

⁵⁷ EEZ, s143(3)(c)

⁵⁸ EEZ, ss52A and 147

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actually incurred, were not reasonably incurred or were not reasonable in amount. However, the High Court held that the only means by which costs could be challenged was via judicial review, and costs could not be challenged as a defence to an action to recover debt in a court of competent jurisdiction.⁵⁹ The applicant therefore brought judicial review proceedings against the EPA in *Chatham Rock v EPA*.

59 In the judicial review case, the High Court made the following points:

- (a) The costs being recovered must be lawful, however assessing lawfulness does not require the Court to engage in a costs revision process. The Court does need to satisfy itself that the EPA correctly understood and exercised its power to charge.⁶⁰
- (b) The reasonableness of the costs is not to be determined by their amount. The Court will not second-guess assessments the EPA reached on the basis of its expert understanding of the environment in which it operates. It is not the function of the Court on judicial review to form a view about whether aspects of the process could have been approached differently and with lower costs.⁶¹
- (c) The Court will not engage in merits reviews, for example, of information provided to the EPA, such as the accuracy of staff reports.⁶²
- (d) Where the EPA had consulted with the applicant on decisions, such as hearing venue, and the applicant had not objected, it was "on strong ground".⁶³
- (e) The EPA had processes in place to avoid costs being simply passed on without consideration⁶⁴ and it engaged in a "genuine and intelligent decision about what resources are required to deal with the issue at hand".⁶⁵

60 The Court distinguished the costs recovery provisions under the EEZ Act from those under the RMA, which contains express rights of objection to charges made by a local authority or the EPA. Noting that there is no equivalent right of objection in the EEZ Act, the Court said:⁶⁶

The absence of any right of objection appears deliberate. I construe its omission, together with the prescriptive legislative provisions for costs recovery, as impliedly imposing a high threshold for successful review of EPA's charges under the EEZ regime.

61 Like the EEZ Act, the FTAA does not contain an express mechanism for an objection to costs, and costs are a debt recoverable in a court of competent jurisdiction. However, the cost recovery provisions of the EEZ Act and FTAA also differ in several ways - including the general procedural principle in section 10 of the FTAA that all practicable steps must be taken to use cost-effective processes that are proportionate to the function, power or duty being exercised.

⁵⁹ *EPA v Chatham Rock*, at [77]

⁶⁰ *Chatham Rock v EPA*, at [76]

⁶¹ *Chatham Rock v EPA*, at [96]

⁶² *Chatham Rock v EPA*, at [90]

⁶³ *Chatham Rock v EPA*, at [89]

⁶⁴ *Chatham Rock v EPA*, at [92]

⁶⁵ *Chatham Rock v EPA*, at [97]

⁶⁶ *Chatham Rock v EPA*, at [97]

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- 62 While there is some uncertainty as to how "reasonable costs" would be assessed, having regard to the specific provisions of the FTAA, and taking into account the principles enunciated by the Court in the *EPA v Chatham Rock* decision:
- (a) To be lawful, costs incurred must sheet home to the functions, powers and duties assigned under the FTAA. Some of those functions, powers and duties are specific (e.g., to provide notice of existing resource consents), some are required to be undertaken in response to a specific request, e.g., advice from a panel, and others are broad, e.g., the ability to provide written comments.
 - (b) When exercising or performing functions, powers and duties, the Minister and agencies should be cognisant of their role under the FTAA, which is different to their role under the RMA, recognising that there is currently some uncertainty as to recoverable costs in this space in light of the matters raised in the context of the Homestead Bay, Drury Quarry Expansion and POAL applications.
 - (c) When exercising or performing functions, powers and duties, the Minister and agencies should consider whether the cost being incurred is required to deal with the issue at hand and they should take all practicable steps to use cost-effective processes which are proportionate to the function, power of duty being exercised.

Proposed amendments to the FTAA

- 63 The Fast Track Approvals Amendment Bill was introduced on 4 November 2025 and had its first reading on 6 November 2025. It is anticipated that the legislation will be passed by the end of 2025.
- 64 The Bill proposes amendments to the FTAA to allow regulations to determine what "actual and reasonable costs" are, including by setting upper limits, identifying criteria for the quantification of costs, or excluding certain categories of costs that may be recovered. The Bill proposes that regulations may also set out a disputes resolution process for recovering costs under s104 of the FTAA.
- 65 Other amendments to the Bill may affect cost recovery by various parties including the proposed removal of consultation requirements and limitations on the scope of written comments by local authorities. It is not clear whether contributions to costs currently available for Māori consultation groups will be amended if consultation with those groups is no longer required.